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**Investments in
climate-smart
agriculture
and low-
emission
enterprises
will position
rural India
as a leader in
sustainable
development**

TRANSFORM RURAL INDIA

The future of Bharat is not in preserving its rural past, but in reimagining its economic potential

▶ **AS INDIA SETS** its sights on becoming Viksit Bharat by 2047, the transformation of its rural economy is not just a policy imperative—it is the foundation of national progress. Nearly two-thirds of India's population still resides in rural areas, and any vision of equitable, sustainable development must begin in the villages. While agriculture has traditionally anchored the rural economy, the reality on the ground is changing rapidly. Rural households are diversifying their incomes, engaging in non-farm work, adopting digital tools, and seeking upward mobility. The future of Bharat is not in preserving its rural past, but in reimagining its economic potential.

A recent working paper by PRICE, "Reimagining Annadata Households and Their Livelihoods Beyond the Farm", provides a granular, data-driven view of this transformation. While it focuses on the 68 million annadata households, those primarily reliant on agriculture, it also reveals a broader evolution in the rural economic landscape. Farming is no longer the sole or even dominant source of income for many households. As of 2024–25, only 21% of Indian

households are expected to depend primarily on agriculture, down from 42% in 1975–76. The rest are increasingly supported by a mix of non-agricultural work: construction, retail, services, pensions, remittances, and small enterprises. In this diversification lies both the challenge and the opportunity.

The opportunity is vast. Rural India is emerging as a vibrant economic zone. Annadata households, once seen solely as cultivators, are now becoming participants in a broader rural economy. Nearly one-third of their income comes from outside the farm. Mobile penetration is high—65% of such households now own smartphones—and usage of digital payments is growing. Asset ownership among rural middle-class households is comparable to that of their urban counterparts, and even vulnerable households are showing an increasing access to consumer durables and connectivity. These trends point to a new kind of rural economic agency—resilient, adaptive, and aspirational.

Yet challenges persist. The biggest is a legacy policy mindset that continues to define rural livelihoods largely through land ownership and agriculture. Most government schemes—including PM-Kisan and crop insurance programmes—are designed